

Kisan Vikas Patra

Double your money, guaranteed.

A post office scheme your parents probably know. Here's the full picture before you put money in.

Put ₹1,00,000 into a Kisan Vikas Patra today and the post office gives you back ₹2,00,000 after 115 months. That's the whole pitch. No market, no NAV to check, no fund manager. The rate is fixed on the day you buy and stays that way till the end. I went through the rules, the tax part and the application process. This is everything, in one place.

- 1 Your money doubles in exactly 115 months (9 years 7 months) at today's 7.5% rate. The Government of India backs it.
- 2 The interest is added to your income and taxed at your slab rate. Plan for it and you know exactly what you'll take home.
- 3 You can buy it at any post office, at a few banks, or online if you have a post office savings account.

INTEREST RATE

7.5%

MONTHS TO DOUBLE

115

MINIMUM

₹1,000

MAXIMUM

No limit

What you're *actually* buying

KVP is a savings certificate sold by India Post. You give the government money, it pays you back double on a fixed date. That's it.

1 The scheme at a glance

PARAMETER	DETAILS
Interest rate	7.5% a year, compounded every year (July to September 2026 quarter)
Maturity period	115 months, which is 9 years and 7 months
What you get back	Exactly double what you put in
Minimum investment	₹1,000, then in multiples of ₹100
Maximum investment	No upper limit
Lock-in	30 months (2 years 6 months). You can't take money out before this, with a few exceptions
Who backs it	Government of India (sovereign guarantee)
Where to buy	Any post office, authorised banks, or India Post internet banking

Source: Ministry of Finance notification on small savings rates for Q2 FY 2026-27 (July to September 2026).

2 Your money, doubled

The maths is simple because the certificate is built around one number: 2x.

YOU INVEST	YOU GET BACK	GAIN	TIME TAKEN
₹1,000	₹2,000	₹1,000	115 months
₹10,000	₹20,000	₹10,000	115 months
₹50,000	₹1,00,000	₹50,000	115 months
₹1,00,000	₹2,00,000	₹1,00,000	115 months
₹5,00,000	₹10,00,000	₹5,00,000	115 months

See Part 3 to plan for tax on the interest.

THE ONE RULE TO REMEMBER

The rate on the day you buy is locked in for the full 115 months. If rates fall next quarter, your certificate doesn't care.

Year by year, ₹1 lakh invested

Interest is added once a year and then earns interest itself. Look at the middle column. The yearly interest keeps going up even though the rate never changes.

YEAR	INTEREST THAT YEAR	VALUE AT YEAR END	GROWTH
1	₹7,500	₹1,07,500	1.08x
2	₹8,063	₹1,15,563	1.16x
3	₹8,667	₹1,24,230	1.24x
4	₹9,317	₹1,33,547	1.34x
5	₹10,016	₹1,43,563	1.44x
6	₹10,767	₹1,54,330	1.54x
7	₹11,575	₹1,65,905	1.66x
8	₹12,443	₹1,78,348	1.78x
9	₹13,376	₹1,91,724	1.92x
9 yrs 7 months (maturity)	₹8,276	₹2,00,000	2.00x

Rounded and illustrative. The certificate itself simply pays double the face value on the maturity date.

3 Where does "115 months" come from?

People think it's a random number. It isn't. The government works backwards: at 7.5% compounded yearly, 1 rupee takes about 9.6 years to become 2 rupees. Round that to months and you get 115.

So when the rate changes, the months change too. A few years ago, at 6.9%, KVP took 124 months to double. The higher the rate, the shorter the wait.

A SHORTCUT I USE NOW

Rule of 72: divide 72 by the rate. $72 \div 7.5 = 9.6$ years. Works for any fixed-rate product, not just KVP.

Planning for *tax*

The interest counts as your income, so your take-home depends on your tax slab. Here's how to plan for it.

4 How KVP is taxed

ASPECT	HOW IT WORKS
Section 80C	No deduction on the amount you invest
Interest earned	Fully taxable under "Income from Other Sources" at your slab rate
When you pay tax	You can show the interest every year as it builds up, or all at once in the year it matures
TDS	The post office generally doesn't cut tax at source. You still have to declare it and pay
Principal at maturity	Not taxed again. Only the interest part is taxable

5 Your take-home on ₹1 lakh, by tax slab

YOUR TAX SLAB	TAX ON ₹1 LAKH INTEREST	YOU KEEP	EFFECTIVE YEARLY RETURN
5% (+ cess)	₹5,200	₹1,94,800	7.2%
20% (+ cess)	₹20,800	₹1,79,200	6.3%
30% (+ cess)	₹31,200	₹1,68,800	5.6%

Assumes the whole interest is taxed in one year at a flat slab plus 4% cess. Your actual tax depends on your regime, other income and surcharge.

6 Who can invest

ACCOUNT TYPE	WHO IT'S FOR
Single holder	One resident Indian adult, in their own name
Joint A	Up to three adults. Paid to all holders jointly, or to the survivor
Joint B	Up to three adults. Paid to any one holder, or to the survivor
Minor / guardian	A guardian on behalf of a minor or a person of unsound mind. A minor above 10 can hold one in their own name
Not allowed	NRIs, HUFs, companies, trusts and other institutions

Where KVP *fits best*

Every scheme suits some goals better than others. Here's what KVP does well and what to plan for.

WHY IT WORKS

- You know the exact date your money doubles
- Backed by the government, so your capital is safe
- No upper limit on how much you put in
- Market crashes don't touch it once you've bought
- You can pledge it to take a loan without breaking it
- Available at every post office in the country

GOOD TO KNOW

- Investment isn't covered under 80C
- Interest is taxed at your slab rate
- 30-month lock-in, so invest money you won't need soon
- Pays out in one lump sum at maturity
- Pair it with growth investments for long-term goals

7 How KVP stacks up

Same post office counter, different options. All rates are for the July to September 2026 quarter.

SCHEME	RATE	TENURE	80C BENEFIT
Kisan Vikas Patra	7.5%	115 months	No
National Savings Certificate (NSC)	7.7%	5 years	Yes
5-year Post Office Time Deposit	7.5%	5 years	Yes
Post Office Monthly Income Scheme	7.4%	5 years	No
Public Provident Fund (PPF)	7.1%	15 years	Yes, and interest is tax-free

Source: Ministry of Finance, small savings rates for Q2 FY 2026-27.

WHAT FINALLY SETTLED IT FOR ME

The 5-year time deposit pays the same 7.5% and gives you 80C. KVP shines when you've already used your 80C, want a fixed doubling date, or may need to pledge it for a loan.

WHO KVP SUITS

Someone who has already filled their 80C, has a fixed goal about 10 years away (a child's college fund, say), and doesn't want to watch a market. If you're 25 and building long-term wealth, it works well as the safe part of a mix.

Buying a KVP, *step by step*

There are two ways. Walk into a post office, or do it online if you already have a post office savings account with internet banking.

8 At the post office (or a bank)

- 1 **Go to your nearest post office.** Some banks like Axis and Canara also sell KVP. Ask at the small savings counter.
- 2 **Ask for the KVP account opening form.** Fill in your name, address, amount, account type (single or joint) and nominee.
- 3 **Attach your KYC.** Aadhaar, PAN and a passport-size photo. Carry the originals so they can check them.
- 4 **Pay.** Cash, cheque or demand draft. If you pay by cheque, the certificate date is the date the cheque clears.
- 5 **Add a nominee.** Don't skip this. Without one, your family has to go through a much longer claim process.
- 6 **Collect your certificate or passbook.** Check the amount, date of issue and maturity date before you leave the counter.

9 Documents you need, by amount

IF YOU INVEST	CARRY THESE
Under ₹50,000	Aadhaar, photo, filled application form
₹50,000 or more	Aadhaar, PAN (compulsory), photo
₹10 lakh or more	All of the above, plus income proof like salary slips, bank statements or ITR

The PAN and income-proof limits come from anti-money-laundering rules for small savings schemes.

WHAT I MISSED THE FIRST TIME

The rate you get is the one for the quarter you buy in. New rates for October to December 2026 are announced around 30 September. If a change is coming, the purchase date matters.

Buying it *from your phone*

This only works if you already have a Post Office Savings Account with internet banking switched on. If you don't, you'll need one trip to the post office to set that up first.

10 Through India Post internet banking

- 1 **Log in** to DOP (Department of Posts) internet banking at ebanking.indiapost.gov.in.
- 2 **Go to General Services**, then Service Requests, then New Requests.
- 3 **Pick "KVP Account"** and choose to open a new one.
- 4 **Enter the amount** (minimum ₹1,000, in multiples of ₹100) and select your post office savings account to debit.
- 5 **Accept the terms**, enter your transaction password and submit.
- 6 **Download the receipt**. The KVP will now show under Accounts when you log in.

11 After you buy

SITUATION	WHAT HAPPENS
Need money early	After 30 months you can encash it. You get interest for the time held, not the full double
Before 30 months	Only allowed if the holder dies, a court orders it, or a pledgee (the bank you pledged it to) forfeits it
Need a loan	Pledge the certificate to a bank as security. Your KVP keeps growing
Moving cities	Transfer it to another post office with a transfer form. No need to break it
Change of owner	Allowed only in specific cases, like to a legal heir or joint holder after death
Maturity day	Take the certificate or passbook and ID to the post office, or it's credited to your linked savings account

BUY IT THE RIGHT WAY

KVP is only sold through post offices and authorised banks. The government sets the rate, so it's the same at every counter. Buy only through these official channels.

The glossary, *in plain words*

I didn't know half of these when I started. If someone at the counter uses one, here's what they mean.

KVP

KISAN VIKAS PATRA

A government savings certificate that doubles your money on a fixed date.

"Post office la kudukkura money double certificate."

Lock-in

MINIMUM HOLDING PERIOD

Time during which you can't take the money out. 30 months for KVP.

"Indha time ku munnadi edukka mudiyaadhu."

TDS

TAX DEDUCTED AT SOURCE

Tax cut before money reaches you. Post office usually doesn't cut it on KVP.

"Cut pannala na, tax illa nu artham illa."

NAV

NET ASSET VALUE

The daily price of a mutual fund unit. KVP has none, since its value is fixed.

"Daily ups and downs paakka vendaam."

POSB / DOP

POST OFFICE SAVINGS BANK /
DEPARTMENT OF POSTS

Your post office savings account, and the department that runs it. Needed for buying online.

"Online la vaanga, post office account venum."

Compounding

INTEREST ON INTEREST

Each year's interest is added and earns interest the next year.

"Vatti ku vatti. Adhu dhaan growth."

Sovereign guarantee

GOVERNMENT PROMISE

The Government of India promises to pay. The safest kind of promise in India.

"Government ey guarantee kudukudhu."

KYC

KNOW YOUR CUSTOMER

ID and address proof so they know who you are. Aadhaar, PAN, photo.

"Nee yaarunu prove panra documents."

Pledge

USE AS LOAN SECURITY

Giving the certificate to a bank as a guarantee to get a loan.

"Udaikkaama adhai vechu loan vaangalaam."

Encashment

CASHING OUT

Taking your money out. Early encashment means before maturity.

"Certificate ah panama maathuradhu."

Maturity

END DATE

The day the scheme ends and you get your money back.

"Panam thirumbi varra naal."

80C

INCOME TAX ACT, SECTION 80C

Lets you cut up to ₹1.5 lakh from taxable income (old regime). KVP doesn't qualify.

"KVP ku tax saving kidaiyaadhu."

PAN

PERMANENT ACCOUNT NUMBER

Your 10-character tax ID card.

Compulsory for KVP of ₹50,000 or more.

"50k mela podra na PAN kandippa venum."

Nominee

PERSON WHO GETS IT AFTER YOU

Who receives the money if the holder dies. Add one at purchase.

"Unakku apram yaaru ku pogum nu sollanum."

Slab rate

YOUR INCOME TAX BRACKET

The tax % that applies to your income level. KVP interest is taxed at this rate.

"Un income ku evlo tax %, adhe dhaan."

Where the *numbers* come from

Every rate in this guide is for the July to September 2026 quarter. Check the latest notification before you invest.

1. Ministry of Finance, Department of Economic Affairs. Notification on interest rates for small savings schemes, Q2 FY 2026-27 (July to September 2026), issued 30 June 2026. Reported by Business Today and Upstox.
2. India Post, Kisan Vikas Patra scheme rules: eligibility, account types, lock-in, premature encashment, transfer and pledging.
3. Kisan Vikas Patra Scheme, 2019 (Government of India notification) for the 30-month lock-in and premature encashment conditions.
4. Department of Posts internet banking: steps for opening a KVP online through General Services > Service Requests. Reported by DNA India and Paisabazaar.
5. Axis Bank and Canara Bank KVP product pages, for bank availability.
6. PAN (₹50,000+) and income-proof (₹10 lakh+) requirements under the Ministry of Finance KYC rules for small savings.
7. Year-by-year growth and after-tax tables: my own calculation at 7.5% compounded yearly, rounded. After-tax figures assume a flat slab plus 4% cess.

DISCLAIMER

This guide is for education only. It is not investment, tax or legal advice. I am not a SEBI-registered investment adviser. Small savings rates are reset by the Ministry of Finance every quarter, and the 7.5% shown here applies to the July to September 2026 quarter only. Growth and tax figures are illustrative and rounded. Verify current terms with India Post or an authorised bank, and speak to a registered adviser or tax professional before investing.

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